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TRM Labs Response to the White House AI Action Plan RFI
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Ensuring AI Leadership While Safeguarding Against Illicit Exploitation

Artificial intelligence (AI) is fundamental to America's economic competitiveness, national security, and technological advancement. The United States has long been a global leader in AI research and innovation. As we continue to develop and deploy cutting-edge AI capabilities, we must also recognize and mitigate the ways in which adversaries and illicit actors may seek to exploit these technologies.

Historically, criminals and illicit networks have been early adopters of transformative technologies, leveraging new tools to enhance fraud, cybercrime, and financial misconduct. AI is no exception. While the United States must foster innovation and maintain leadership in AI development, we must also ensure that these technologies do not provide an advantage to illicit actors, including those engaged in financial crime, cyber-enabled threats, and national security risks.

This submission outlines critical policy actions to strengthen America's AI leadership while mitigating the risks posed by adversarial use of AI. By embedding security, transparency, and resilience into the AI ecosystem from the outset, we can ensure that innovation flourishes while protecting national security, financial integrity, and public trust.

AI as Both a Tool for Good and a Weapon for Crime

AI is a transformative force, driving advancements across industries, from improving healthcare access and climate modeling to increasing security and operational efficiency. However, this same technology is also being weaponized for criminal activity, posing significant risks to global security and economic stability. Malicious actors are increasingly leveraging AI to conduct fraud, execute cyberattacks, manipulate financial markets, and deploy sophisticated misinformation campaigns.

Threat Landscape: The Rise of AI-Enabled Financial Crime

TRM Labs' research indicates that AI is increasingly being exploited for:

- AI-Powered Scams: AI-generated phishing campaigns, romance scams, and social engineering attacks that bypass traditional fraud detection mechanisms.
- AI-Driven Ransomware: Automated malware operations that leverage AI to optimize payload distribution and dynamically adapt encryption techniques.
- Supercharged Fraud Networks: AI removes human bottlenecks in fraudulent schemes, enabling mass-scale impersonation, credit fraud, and money mule recruitment.
- AI-Powered Cyber Laundering: Machine-learning models are being used to automate illicit transaction layering, including AI-driven mixers and cross-chain swaps.
- Deepfake Financial Deception: AI-generated synthetic identities are fueling fraudulent transactions, corporate espionage, and insider trading.
- Adaptive Cyberattacks: AI-driven malware autonomously learns and adapts, bypassing security measures at financial institutions and government agencies.

AI's ability to mimic human interactions, generate synthetic identities, and conduct large-scale attacks at unprecedented speeds has exponentially increased the complexity of combating financial crime. Without robust security measures, the U.S. risks AI being exploited at a scale that undermines economic stability and national security.

Leveraging Blockchain Intelligence and AI to Mitigate Risks

AI for Financial Crime Prevention

Blockchain intelligence, enhanced with AI, is a crucial tool for tracking and mitigating AI-enabled financial crime. By integrating AI with blockchain forensics, law enforcement, regulators, and financial institutions can:

- Detect suspicious transaction patterns linked to illicit activities.
- Enhance forensic investigations by mapping complex money laundering networks.
- Monitor emerging threats in AI-driven financial crime and fraud.
- Identify synthetic identities and deepfake-driven financial manipulation.
- Automate anomaly detection in blockchain transactions to flag illicit activities.
- Use behavioral analytics to predict emerging AI-assisted financial crimes.
- Detect AI-driven money laundering tactics through real-time pattern recognition.

These tools allow for real-time monitoring and response to emerging threats, ensuring financial security while enabling AI-driven innovation.

Recommendations for AI-Driven Financial Crime Prevention

1. Ensure Law Enforcement Has the Tools and Training Necessary

Federal agencies must invest in AI-powered investigative tools to ensure that law enforcement has the capabilities to identify and counter AI-assisted financial crime. Training programs should be developed to enhance AI literacy among financial crime investigators, equipping them with the tools needed to detect and disrupt AI-enabled threats.

2. Allocate Budget for AI-Focused Financial Crime Prevention

Congress should allocate dedicated funding for AI-driven cybersecurity and financial crime prevention initiatives, ensuring agencies have the necessary resources to combat emerging AI threats effectively.

3. Strengthen FinCEN’s Capacity to Address AI-Driven Illicit Finance

As AI-enabled financial crime evolves, the Financial Crimes Enforcement Network (FinCEN) must be properly staffed and resourced to address the increasing complexity of illicit finance cases involving AI, cryptocurrency, and cross-border transactions. Enhanced collaboration between FinCEN, private-sector intelligence firms, and law enforcement will be essential.

4. Use AI and Blockchain Intelligence Offensively to Combat Rogue Nation-States and Illicit Networks

AI should be deployed proactively to track and dismantle illicit financial networks tied to rogue nation-states and transnational criminal organizations. AI-driven intelligence tools should be leveraged to identify and sanction entities exploiting AI for illicit activities, ensuring that adversarial actors do not gain a technological advantage over U.S. enforcement efforts.

5. Implement AI Risk Controls for Financial Systems

AI-driven financial systems must be equipped with built-in security measures to detect and mitigate AI-generated risks. Regulatory agencies should:

- Develop AI threat intelligence frameworks for financial markets.
- Require AI fraud detection tools to be integrated into cryptocurrency exchanges and financial institutions.
- Strengthen AI-driven behavioral risk modeling to identify and prevent illicit financial activities in real time.

6. Expand Public-Private AI Threat Intelligence Sharing

Collaboration between government agencies and private-sector intelligence firms must be expanded to improve AI-driven threat intelligence sharing. Initiatives such as Chainabuse, the largest repository of fraud and scams in crypto, and the Third-Party Financial Crime Unit (T3 FCU) serve as prime examples of successful public-private cooperation in combatting AI-driven financial crime.

Conclusion

AI presents both a significant opportunity and a growing challenge in financial security. By integrating AI with blockchain intelligence, financial institutions, regulators, and national security agencies can build resilient defenses against evolving threats. TRM Labs is committed to working alongside policymakers, regulators, and industry leaders to shape AI-driven security measures that ensure financial integrity while mitigating risks.

Addressing AI-enabled financial crime through proactive policy measures, dedicated resources, and technological collaboration will be key to securing the future of the financial ecosystem. By embedding safeguards into AI innovation from the outset, the United States can maintain its leadership in AI while ensuring that these technologies are not exploited by illicit actors to undermine national security and economic stability.